

PROFESSIONAL PRACTICE AND RESEARCH METHODOLOGY

Time allowed: **TWO** hours

The following items are provided:

OMR Form for answering multiple-choice questions

Candidates are permitted to bring into the examination room:

Calculator – Casio FX-83GT Plus or Casio FX-85GT Plus **ONLY**

Candidates must answer **ALL** questions. The paper consists of **TWENTY-TWO** questions. Questions are **NOT** of equal weight.

Answers to **SECTION A** must be written on the OMR form.

Answers to **SECTION B** must be written in the answer book provided.

The percentages shown in brackets provide an indication of the proportion of the total marks for the **PAPER** which will be allocated.

THE QUESTION PAPER MUST NOT BE REMOVED FROM THE EXAMINATION ROOM.

Please do not leave your seat unless you are given permission by an invigilator.

Do not communicate in any way with any other candidate in the examination room.

Do not open the question paper until told to do so.

All answers must be written in the answer book(s) provided.

All rough work must be written in the answer book(s) provided. A line should be drawn through any rough work to indicate to the examiner that it is not part of the work to be marked.

At the end of the examination, remain seated until your answer book(s) have been collected and you have been told you may leave.

SECTION A

Answers to Section A should be written on the OMR answer form.

SECTION A IS UNAVAILABLE

SECTION B

Candidates must answer ALL questions in this section. Answers for questions in this section must be written in the answer book(s) provided.

Question 18

When writing a report it is important to organise the sections of your report into the correct order.

The order in which the sections of the following report should go has been mixed up. Rearrange them into the most logical order. Also indicate which sections should most likely be numbered, and which should not. Some sections may also need to be combined into sub-sections – indicate where this would be suitable.

- Title: Suitability of Open Source Software for Start-Up Technology Companies
- Case Study 2: Out of the Box Design
- Definition of Open Source Software
- Bibliography
- Case Study 1: Blue Sky Ltd
- Executive Summary
- Discussion: Themes from case studies
- Recommendations
- List of abbreviations
- Survey of currently available Open Source Software
- Conclusion: Advantages and Disadvantages of Open Source Software
- Case Study 3: Marketing Web
- Methodology: Case studies of small technology companies

[8%]

Question 19

You are deciding whether to purchase a new car or to lease it, based on the following options.

Purchasing: The new car costs £15,000 and at the end of 3 years can be sold for £5000. However you also have to pay £700 a year for tax and insurance, and an annual maintenance cost of £300. These amounts are paid at the beginning of each year.

Leasing: If you lease the car, the annual cost would be £4000 (paid at the beginning of the year) and you would not have any other additional expenses (such as tax, insurance or maintenance).

All of these amounts are current costs and you will need to consider that all of the costs will rise at the end of each year by the current inflation rate, which is 5%. You will also have to consider that the current interest rate is 4%.

Should you buy the car or lease it?

You will need to support your decision by determining the Net Present Value (NPV) costs of each method by calculating the Discounted Cash Flow (DCF) over the 3-year period. Assume that the payments are made at the beginning of each year.

What would happen if you decided to calculate the DCF over a 4-year period rather than a 3-year period (assuming the car could still be sold for £5000 at the end of the 4 year period)? Would this affect your decision?

The formula for NPV is:

$$\frac{X}{(1+r)^t}$$

[10%]

Question 20

- a) When applying for a job it is normal to include a personal statement or covering letter. List 5 things that would normally be included in your personal statement.

[5%]

- b) *STAR* provides a structure that assists you in presenting examples as part of your written application or in an interview. It allows you to describe a situation or problem; highlight the task you had to accomplish; tell what actions you took to achieve the task; and show the result – what you achieved and what you learned.

From the following statements, identify which statement describes a '*Situation*', which a '*Task*', which the '*Action*' and which the '*Result*'. Give your answer in the following way:

Situation – number of section

Action – number of section

Task – number of section

Result - number of section

Statement 1	Statement 2	Statement 3	Statement 4
I overcame challenges and delivered the new system on time and within budget. As a result my team can address 100% of customer service emails within 48 hours. I have reduced the volume of complaints received by 35% and produce a suite of reports that help the team deliver an improved customer service.	I highlighted an increase of customer communications, feedback and complaints via email, but there was no structured method in place to handle this concern. I realised very quickly that not only was this an issue for the team, but also I saw the potential to enhance relationships with our customers.	I introduced a system of monitoring and assessing electronic customer feedback with the aim of reducing the time it takes to deal with customer service complaints from 9 days to 48 hours.	I completed a business case clearly outlining the benefits of this action and set up a project group to deliver a system of processing and managing these emails. I recruited internally giving my team exposure to working on a project. I put regular reporting in place, ensuring all stakeholders were involved and communicated with. I lost two team members due to sickness but identified key replacements and revised the plan accordingly so that work would not fall behind. I ensured the team knew what had to be delivered and got staff buy-in from very early on. Throughout the project I managed the team, rescheduled tasks as required, communicated regularly with all interested parties and ultimately delivered the project successfully.

[8%]

Question 21

Citations are the full or partial references that you place into the text of your work to identify the source of evidence presented.

- a) Look at the following three brief extracts and decide for each if a citation is necessary, and, if so, where it should go. Your answer should explain where in the text a citation should be placed for each extract.
- i) A major study of British school leavers concluded that parents had a major influence on the kind of work entered by their children. The children were influenced over a long period of time by the values and ideas about work of their parents. A later study reached the same conclusion, and showed a link between the social and economic status of parents and the work attitudes and aspirations of their teenage children.
 - ii) Climatologists generally agree that the five warmest years since the late nineteenth century have been within the decade, 1995-2005, with the National Oceanic and Atmospheric Administration (NOAA) and the World Meteorological Organization (WMO), ranking 2005 as the second warmest year behind 1998.
 - iii) It has been argued that federalism is a way of making sense of large organisations and that the power and responsibility that drives federalism is a feature of developed societies and can be extended into a way forward for managing modern business: “authority must be earned from those whom it is exercised”.
- [6%]**
- b) Give two reasons why you should reference other people’s work.
- [2%]**

Question 22

- a) Return on investment is a crucial analytical tool used by both businesses and investors. It is the ratio of a profit or loss made in a fiscal year expressed in terms of an investment, and it is usually expressed in terms of a percentage of increase or decrease in the value of the investment during the year in question.
You buy a car for £26,450. Because you now have reliable transportation, you are able to obtain a job and earn £10,860 in your first year. Calculate your return on investment for that year. **[4%]**
- b) The *Debt to equity ratio* is a solvency (gearing) ratio that indicates the soundness of long-term financial policies of a company. It shows the relation between the portion of assets financed by creditors and the portion of assets financed by stockholders. The Debt to equity ratio is calculated by dividing total liabilities by stockholder's equity.
In the following example, a company has applied for a loan. The lender of the loan requests you to compute the debt to equity ratio as a part of the long-term solvency test of the company. The "Liabilities and Stockholders' Equity" section of the balance sheet of the company is given overleaf:

Question 22 continues...

Question 22 (continued)

Liabilities & stockholders' equity:	
<u>Current liabilities:</u>	
Accounts payable	\$ 2,900
Accrued expenses payable	450
Short-term notes payable	150
Total current liabilities	3,500
<u>Long term liabilities:</u>	
6% bonds payable	3,750
Total liabilities	7,250
<u>Stockholders' equity:</u>	
6% preferred stock, par value \$100	1,000
Common stock, par value \$12	3,000
Additional paid-in capital	500
Total paid-in capital	4,500
Retained earnings	4,000
Total stockholders' equity	8,500
Total liabilities & stockholders' equity	\$ 15,750

Compute the debt to equity ratio for this company and explain the meaning of the result.

[6%]

END OF SECTION B

END OF PAPER CE902-7-FY